Auditor's Report along with Audited Financial Statements of Bangladesh Infrastructure Finance Fund Limited For the year ended 31 December 2020

BDBL Bhaban (Level-13 & 15)
12 Kawran Bazar Commercial Area
Dhaka-1215, Bangladesh.

Telephone: (+88-02) 410 20030 to 35 (Level-13)
(+88-02) 8189428 to 29 (Level-15)
Facsimile: (+88-02) 410 20036
E-mail: <acnabin@bangla.net>, Web: www.acnabin.com

Independent Auditor's Report
To the Shareholders of Bangladesh Infrastructure Finance Fund Limited

Opinion

We have audited the financial statements of Bangladesh Infrastructure Finance Fund Limited (the Company), which comprise the Balance Sheet as at December 31, 2020, and Profit and Loss Account and Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2020, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as explained in note # 2 to the financial statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) Bangladesh Bank and we have fulfilled our other ethical responsibilities in accordance with IESBA Code and the Institute of Chartered Accountants of Bangladesh (ICAB) Bye-Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matters

Without modifying our opinion, we are drawing attention to the following matters:

1. In note # 2.10.04 to the financial statements, the Company disclosed its depreciation policy and plan to revise the useful life of the 'Building';

2. In note # 2.11.02 to the financial statements, the Company disclosed its defined contribution plan (provident fund). Since 2017 the Company did not conduct any audit of the provident fund. As a result, we were unable to confirm the compliance status of FRC notification # 179/FRC/FRM/Gazette/2020/2 dated 07 July 2020;

3. In note # 4.3 to the financial statements, the Company disclosed about the status of recoverability against Fixed Deposit Receipts made in different Banks and Non-Banking Financial Institutions;

4. In note # 13.4 to the financial statements, the Company disclosed amounting to BDT 3,222,615 as 'Employee benefit liabilities', which inter-alia includes 'Gratuity Fund (GF) payable' amounting to BDT 2,888,030. However, the Company did not measure gratuity fund liabilities following actuarial assumptions, which is a non-compliance with International Accounting Standard 19; and

ACNABIN Dhaka Chartered Accountants

5. In note # 13.6 to the financial statements, the Company disclosed the reasons for transferring 'Interest on short-term investment (FDRs)' and 'Interest on loans and advances' to 'Interest suspense account'.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of 2020. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk	Our response to the risk
Measurement of provision for loans and advances	
The process for estimating the provision for loans and advances portfolio associated with credit risk is significant and complex. For the individual (party-wise) analysis, these provisions consider the estimates of future business performance and the market value of the collateral provided for credit transactions. At year end the Company reported total gross loans and advances of BDT 18,361,145,945 (2019: BDT 18,922,252,016) and provision for loans and advances and others at the year end BDT 1,671,846,464 (2019: BDT 1,171,846,464). We have focused on the following significant judgments and estimates which could give rise to a material misstatement or management bias: • Completeness and timing of recognition of loss events in accordance with criteria set out in FID circular no 08, dated 03 August 2002, FID circular no. 03, dated 03 May 2006 and FID circular no.03 dated 29 April 2013; • For assessed provisions, the measurement of the provision may be dependent on the valuation of collateral, estimates of exit values and the timing of cash flows; and • Provision measurement is primarily dependent upon key assumptions relating to the probability of default, the ability to repossess collateral, and recovery rates.	We tested the design and operating effectiveness of key controls focusing on the following: • Tested the credit appraisal, loan disbursement procedures, monitoring and provisioning process; • Reviewed the process of identification of loss events, including early warning and default warning indicators and • Reviewed quarterly Classification of Loans (CL); Our substantive procedures in relation to the provision for loans and advances portfolio comprised the following: • Reviewed the adequacy of the company's general and specific provisions; • Assessed the methodologies on which the provision amounts based, recalculated the provisions and tested the completeness and accuracy of the underlying information; and • Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.
See note # 7 and 13.5 to the financial statements.	
Legal and regulatory matters	
We focused on this area because the Company operates in a legal and regulatory environment that is exposed to significant litigation and similar	We obtained an understanding, evaluated the design, and tested the operational effectiveness of the key controls over the

ACNABIN AC Dhaka Chartered Accountants

Risk	Our response to the risk
risks arising from disputes and regulatory proceedings. Such matters are subject to many uncertainties and the outcome may be difficult to predict. These uncertainties inherently affect the amount and timing of potential outflows with respect to the provisions which have been established and other contingent liabilities. Overall, the legal provision represents the Company's best estimate for existing legal matters that have a probable and estimable impact on the financial position.	legal provision and contingencies process. We enquired to those charged with governance to obtain their view on the status of all significant litigation and regulatory matters. We also assessed the Company's contingent liabilities disclosure.
See note # 2.27 and 18 to the financial statements.	
Borrowing from other banks and other financial institutions	
We focused on this area because the Company receives loans from different donor agencies through GoB to implement infrastructure development projects in Bangladesh. Such an arrangement should be guided by strict internal control. Any non-compliance of the financing agreements with the donor agencies may create major credit risk for the Company.	In responding to the identified key audit matter, we have performed the following procedures: • Checked the drawdowns of borrowings from donor agency's server on a sample basis; • Reviewed the repayments made to the agencies as required on a sample basis; • Recalculated repayment schedule of the loans from donor agencies on a sample basis and • Reviewed the agreements with the donor agencies and checked whether the company has compiled with the requirements of the agreements on a sample basis.
See note # 11 to the financial statements.	
Measurement of deferred tax assets (net)	
The Company reports net deferred tax assets totaling BDT 7,200,926 as at 31 December 2020 (BDT 443,512 as at 31 December 2019). Significant judgment is required in relation to deferred tax assets as their recoverability is dependent on forecasts of future profitability over several years.	We obtained an understanding, evaluated the design and tested the operational effectiveness of the Company's key controls over the recognition and measurement of Deferred Tax Assets and the assumptions used in estimating the Company's future taxable income. We also assessed the completeness and accuracy of the data used for the estimations of future taxable income. Finally assessed the appropriateness and presentation of disclosures against IAS 12 Income Tax.
See note # 9.2 and 13.3 to the financial statements	

ACNABIN Dhaka Chartered Accountants

Risk	Our response to the risk
Investment and provision for diminutions in the value of investments	
At year end the Company reported total gross Investments of BDT 3,169,028,755 (2019: BDT 3,255,862,186) and Provision for leases, loans, advances and others at the yearend BDT 1,671,846,464 (2019: BDT 1,171,846,464). The process for estimating the provision against the investments associated with credit risk is significant and complex. We focused on this area because of the significance of the investments in the financial statements and departure from the recognition and presentation criteria of IFRS 9, IFRS 7 & IAS 32 to comply with the circulars of Bangladesh Bank for determining the valuation methodology and presentation to be applied by the management of the Company.	Our audit approach included a combination of controls testing, data analysis, and substantive procedures covering the following: • Obtained sufficient audit evidence to conclude that the inputs and methodologies used for the valuation of the investments are within a reasonable range and that the management of the Company consistently applied valuation policies; • Assessed the controls' design and operating effectiveness, measurement, and oversight of financial assets' valuation risk; and • Tested the calculations of provision for diminution in value of the investment and checked if the presentation and disclosure of investment are in compliance with FID circular no. 8 dated 3 August 2002 and DFIM circular no. 2 dated 31 January 2012 issued by Bangladesh Bank.
See note # 6 and 13.5 to the financial statements.	
IT systems and controls	
Our audit procedures have a focus on IT systems and controls due to the pervasive nature and complexity of the IT environment, the large volume of transactions processed in numerous locations daily and the reliance on automated and IT- dependent manual controls.	We tested the design and operating effectiveness of the Company's IT access controls over the information systems that are critical to financial reporting. We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing that requests for access to systems were appropriately reviewed and authorized. We tested the Company's periodic review of access rights and reviewed requests of changes to systems for appropriate approval and authorization. We considered the control environment relating to various interfaces, configuration and other application-layer controls identified as key to our audit.
See note # 2.25 to the financial statements.	
Implications of COVID-19	
The developments surrounding the Corona (Covid-19) virus have a profound impact on people's health and our society as a whole and on the operational and financial performance of organizations and the assessment of the ability to continue as a going concern. The global	Our audit procedure included- • Checked the operational effectiveness and capacity utilization during the pandemic situation; • Checked the impairment testing of the

ACNABIN Dhaka Chartered Accountants

Risk	Our response to the risk
pandemic COVID- 19 has already had a significant impact on global trade and economy, with a consequential impact on trade, business, financial market, and Bangladesh's overall economy. There is a potential impact on the Company's smooth operation, impairment of assets, the fair value of the asset, expected credit loss, contract modification, valuation of inventories, and going concern of the Company.	assets, if the Company made any assessment; • Checked the subsequent position of the receivables and payables; and • Checked the going concern of the Company considering the existing operation and plan ofthe Company.
See note # 2.05 to the financial statements.	

Other Matter

The financial statements of the Company for the year ended 31 December 2019 were audited by Syful Shamsul Alam & Co., Chartered Accountants, who expressed an unmodified opinion on those statements on 08 September 2020.

Other Information

Management is responsible for the other information. The other information comprises all of the information in the Annual Report other than the financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs as explained on note # 2 and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

ACNABIN Dhaka Chartered Accountants

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the Company' financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report

ACNABIN Dhaka Chartered Accountants

unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act 1994, the Financial Institutions Act, 1993 and the rules and regulations issued by Bangladesh Bank, we also report the following:

a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;

b) in our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of those books;

c) the balance sheet and profit and loss account together with the annexed notes dealt with by the report are in agreement with the books of accounts and returns;

d) the expenditure incurred was for the purposes of the Company's business for the year;

e) The financial statements of the Company have been drawn up in conformity with Financial Institutions Act, 1993 and in accordance with International Financial Reporting Standards as explained in notes as well as with related guidance, circulars issued by Bangladesh Bank;

f) adequate provisions have been made for loans, leases, investment, advances and other assets which are, in our opinion, doubtful of recovery and Bangladesh Bank's instructions in this regard have been followed properly;

g) the financial statements of the Company conform to the prescribed standards set in the accounting regulations which were issued by Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;

h) statements sent to Bangladesh Bank have been checked on a sample basis and no inaccuracy has come to our attention;

i) taxes and other duties were collected and deposited in the Government treasury by the Company as per Government instructions found satisfactory based on test checking;

j) nothing has come to our attention that the Company has adopted any unethical means i.e. 'window dressing' to inflate the profit and mismatch between the maturities of assets and liabilities;

k) proper measures have been taken to eliminate the irregularities mentioned in the inspection report of Bangladesh Bank and the instructions which were issued by Bangladesh Bank and other regulatory authorities have been complied properly as disclosed to us by management;

ACNABIN Dhaka Chartered Accountants

l) based on our work as mentioned above under the auditor's responsibility section, the internal control and the compliance of the Company is satisfactory, and effective measures have been taken to prevent possible material fraud, forgery and internal policies are being followed appropriately;

m) the Company has complied with relevant laws pertaining to capital, reserve and net worth, cash and liquid assets and procedure for sanctioning and disbursing loans/leases found satisfactory;

n) We have reviewed over 80% of the risk-weighted assets of the Company, and we have spent around 2120 person-hours for the audit of the books and accounts of the Company;

o) the Company has complied with relevant instructions which were issued by Bangladesh Bank relevant to classification, provisioning and calculation of interest suspense;

p) the Company has complied with the "First Schedule" of the Financial Institutions Act, 1993 in preparing these financial statements; and

q) all other issues which in our opinion are important for the stakeholders of the Company have been adequately disclosed in the audit report.

Dated, Dhaka

28 AUG 2021

ACNABIN, Chartered Accountants

Acnabin

Muhammad Aminul Hoque, FCA
Partner
ICAB Enrolment # 1129
DVC:2109131129AS435711

Bangladesh Infrastructure Finance Fund Limited
Balance Sheet
As at 31 December 2020

Particulars	Notes	Amount in Taka	
		31-Dec-20	31-Dec-19
Property and Assets			
Cash	3	**1,686,760**	**31,084,487**
In hand (including foreign currencies)		89,501	139,187
Balance with Bangladesh Bank and its agent bank(s) (including foreign currencies)		1,597,259	30,945,300
Balance with banks and other financial institutions	4	**12,512,084,193**	**7,965,250,332**
Inside Bangladesh		12,512,084,193	7,965,250,332
Outside Bangladesh		-	-
Money at call and on short notice	5	**26,900,000**	**27,400,000**
Investments:	6	**3,169,028,755**	**3,255,862,186**
Government		-	-
Others		3,169,028,755	3,255,862,186
Loans and advances	7	**18,361,145,945**	**18,922,252,016**
Loans, cash credits, overdrafts etc.		18,361,145,945	18,922,252,016
Bills purchased and discounted		-	-
Fixed assets including premises, furniture and fixtures	8	**223,092,676**	**267,323,044**
Other assets	9	**4,808,778,850**	**4,089,263,991**
Non-banking assets	10	-	-
Total Property and Assets		**39,102,717,178**	**34,558,436,056**
Liabilities and Shareholders' Equity			
Liabilities			
Borrowing from other banks, financial institutions and agents	11	**4,844,313,906**	**4,166,587,594**
Deposits and other accounts	12	**-**	**504,618,055**
Current accounts and other accounts etc.		-	-
Bills payable		-	-
Savings bank deposits		-	-
Term deposits		-	504,618,055
Bearer certificate of deposits		-	-
Other deposits		-	-
Other liabilities	13	**8,122,597,189**	**6,111,802,323**
Total Liabilities		**12,966,911,094**	**10,783,007,973**
Capital/Shareholders' Equity		**26,135,806,084**	**23,775,428,084**
Paid up capital	14	23,080,000,000	21,080,000,000
Statutory reserve	15	1,767,400,439	1,659,085,617
General reserve	16	100,000,000	50,000,000
Retained earnings	17	1,188,405,645	986,342,467
Total Liabilities and Shareholders' Equity		**39,102,717,178**	**34,558,436,056**

ACNABIN Dhaka Chartered Accountants

Particulars	Notes	Amount in Taka 31-Dec-20	31-Dec-19
OFF-BALANCE SHEET ITEMS :			
Contingent liabilities	**18**	**454,800,000**	**503,031,759**
Acceptances and endorsements		-	-
Letter of comfort	**18.1**	454,800,000	503,031,759
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
Total Off-Balance Sheet Items including contingent liabilities		**454,800,000**	**503,031,759**
Net Asset Value (NAV) per share	**38**	**113.86**	**112.79**

Annexed notes form an integral part of these financial statements.

Company Secretary **Chief Executive Officer** **Director** **Chairman**

Signed as per our report on same date

ACNABIN Chartered Accountants

Dated, Dhaka

28 AUG 2021

Muhammad Aminul Hoque FCA
Partner
ICAB Enrolment Number # 1129
DVC:2109131129AS435711

Bangladesh Infrastructure Finance Fund Limited
Profit and Loss Account
For the year ended 31 December 2020

Particulars	Notes	Amount in Taka	
		31-Dec-20	31-Dec-19
Operating Income			
Interest income from leases, loans and advances	20	1,120,550,039	1,736,088,527
Less: Interest expenses on deposits & borrowings etc.	21	90,286,117	96,345,981
Net interest income		**1,030,263,922**	**1,639,742,546**
Investment income	22	325,936,996	233,825,597
Commission, exchange and brokerage		-	-
Other operating income	23	453,952,651	231,437,493
Total operating income		**1,810,153,567**	**2,105,005,636**
Operating Expenses			
Salary and allowances	24	61,387,080	59,002,335
Rent, taxes, insurance, electricity etc.	25	1,714,828	3,477,003
Legal expenses	26	195,188	699,163
Postage, stamp, telecommunication etc.	27	1,666,318	1,922,434
Stationery, printing, advertisement etc.	28	1,866,053	6,840,432
Managing Director's salary and allowances	29	6,983,548	6,821,760
Directors' fees	30	909,318	1,416,196
Auditors' fees	31	404,000	266,000
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	45,523,680	46,482,930
Other operating expenses	33	17,030,777	32,350,320
Total operating expenses		**137,680,789**	**159,278,573**
Profit before provision		**1,672,472,778**	**1,945,727,063**
Provision for investment, leases, loans and advances	34	-	82,929,904
Provision for diminution in value of investments		-	-
Other provision	35	500,000,000	655,298,717
Total provision		**500,000,000**	**738,228,621**
Total profit before income tax		**1,172,472,778**	**1,207,498,442**
Provision for income tax	36	630,898,665	754,508,161
Net profit after tax & provision		**541,574,113**	**452,990,281**
Appropriations to:		**158,314,823**	**140,598,056**
Statutory reserve	15	108,314,823	90,598,056
General reserve	16	50,000,000	50,000,000
Retained surplus		**383,259,290**	**312,392,225**
Earnings per share (EPS)	37	**2.36**	**1.97**

Annexed notes form an integral part of these financial statements.

Company Secretary | **Chief Executive Officer** | **Director** | **Chairman**

Signed as per our report on same date

Dated, Dhaka

28 AUG 2021

ACNABIN Chartered Accountants

Muhammad Aminul Hoque FCA
Partner
ICAB Enrolment Number # 1129

DVC:2109131129AS435711

Bangladesh Infrastructure Finance Fund Limited
Statement of Cash Flows
For the year ended 31 December 2020

Particulars	Notes	Amount in Taka 31-Dec-20	Amount in Taka 31-Dec-19
A. Cash flow from operating activities:			
Interest received		999,632,315	1,250,163,815
Interest paid		(18,667,353)	(49,011,044)
Dividend received		210,054,728	90,087,753
Interest received from commercial paper & bond		180,302,899	19,787,918
Cash paid to employees		(58,693,789)	(65,727,672)
Cash paid to suppliers		(8,252,674)	(22,938,956)
Income taxes paid		(781,687,573)	(561,655,414)
Received from other operating activities		461,089,667	263,361,486
Paid for other operating activities		(17,854,541)	(33,870,016)
Cash generated from operating activities		**965,923,679**	**890,197,870**
Increase/(decrease) in operating assets and liabilities, statutory deposits			
Loans and advances to other banks		-	-
Investment		-	-
Loans and advances to other customers		1,330,595,828	(1,458,618,896)
Other assets		(1,547,642)	(460,470)
Borrowings from banks, financial institutions and agents		626,430,404	1,667,185,085
Deposits from other banks/borrowings		(504,618,055)	504,618,055
Other liabilities		194,847,509	403,931,133
		1,645,708,043	**1,116,654,907**
Net cash flow from/(used in) operating activities		**2,611,631,723**	**2,006,852,778**
B. Cash flow from investing activities:			
Purchase of property, plant and equipment net of disposal proceeds		(351,408)	(5,838,180)
Proceed from investment in securities		286,833,431	177,581,778
Investment made during the period		(200,000,000)	(1,870,000,000)
Proceeds from disposal of fixed assets		18,500	-
Net cash flow from/(used in) investing activities		**86,500,523**	**(1,698,256,402)**
C. Cash flow from financing activities:			
Dividend paid		(181,196,112)	(150,000,000)
Issuance of shares		2,000,000,000	-
Net cash used in financing activities		**1,818,803,888**	**(150,000,000)**
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)		4,516,936,134	158,596,375
E. Effects of exchange rate changes on cash and cash equivalents		-	-
F. Cash and cash equivalents at the beginning of the year		8,023,734,820	7,865,138,444
G. Cash and cash equivalents at the end of the year (D+E+F)		**12,540,670,953**	**8,023,734,820**
Cash and cash equivalents at the end of the year			
Cash in hand	3.1	89,501	139,187
Balance with Bangladesh Bank and its agent bank(s)	3.2	1,597,259	30,945,300
Balance with other banks and financial institutions	4	12,512,084,193	7,965,250,332
Money at call and short notice	5	26,900,000	27,400,000
		12,540,670,953	**8,023,734,820**
Net operating cash flow per share (NOCFPS)	39	**11.38**	**9.52**

Annexed notes form an integral part of these financial statements.

ACNABIN Dhaka Chartered Accountants

Company Secretary **Chief Executive Officer** **Director** **Chairman**

Bangladesh Infrastructure Finance Fund Limited
Statement of Changes in Equity
For the year ended 31 December 2020

Amount in Taka

Particulars	Paid-up capital	Statutory reserve	General Reserve	Retained earnings	Total
Balance as on 1 January 2019	21,080,000,000	1,568,487,561	-	673,950,242	**23,322,437,803**
Net profit for the year	-	-	-	452,990,281	**452,990,281**
Cash dividend	-	-	-	-	-
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	90,598,056	50,000,000	(140,598,056)	-
Balance as on 31 December 2019	**21,080,000,000**	**1,659,085,617**	**50,000,000**	**986,342,467**	**23,775,428,084**
Balance as on 1 January 2020	21,080,000,000	1,659,085,617	50,000,000	986,342,467	**23,775,428,084**
Net profit for the year	-	-	-	541,574,113	**541,574,113**
Share issue	2,000,000,000	-	-	-	**2,000,000,000**
Cash dividend	-	-	-	(181,196,112)	**(181,196,112)**
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	108,314,823	50,000,000	(158,314,823)	-
Balance as on 31 December 2020	**23,080,000,000**	**1,767,400,439**	**100,000,000**	**1,188,405,645**	**26,135,806,084**

Annexed notes form an integral part of these financial statements.

Company Secretary **Chief Executive Officer** **Director** **Chairman**

ACNABIN Dhaka Chartered Accountants

bakertilly NETWORK MEMBER

ACNABIN Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited
Liquidity Statement
Asset and Liability Maturity Analysis
As at 31 December 2020

Amount in Taka

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand and balance with Bangladesh Bank and its agent bank(s)	1,686,760		-	-	-	1,686,760
Balance with banks and other financial institutions	6,849,144,598	2,588,189,679	-	3,074,749,917	-	12,512,084,193
Money at call and short notice	26,900,000	-	-	-	-	26,900,000
Investments	20,000,000	79,371,761	368,505,480	2,406,484,847	294,666,667	3,169,028,755
Loans and advances	224,830,057	1,290,731,092	2,522,445,632	8,921,073,612	5,402,065,552	18,361,145,945
Fixed assets including land, buildings, furniture and fixtures	-	-	-	-	223,092,676	223,092,676
Other assets	23,140,712	79,975,449	37,314,848	34,580,258	4,633,767,582	4,808,778,850
Non-banking assets	-	-	-	-	-	-
Total Assets (A)	**7,145,702,128**	**4,038,267,981**	**2,928,265,961**	**14,436,888,633**	**10,553,592,476**	**39,102,717,178**
Liabilities						
Borrowing from other banks, financial institutions and agents	1,372,916	2,353,683	113,899,404	1,454,858,291	3,271,829,611	4,844,313,906
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	10,620,064	5,039,744	31,699,096	-	8,075,238,285	8,122,597,189
Total Liabilities (B)	**11,992,980**	**7,393,427**	**145,598,500**	**1,454,858,291**	**11,347,067,896**	**12,966,911,094**
Net liquidity gap (A-B)	**7,133,709,147**	**4,030,874,554**	**2,782,667,461**	**12,982,030,342**	**(793,475,420)**	**26,135,806,084**

Annexed notes form an integral part of these financial statements.

Company Secretary

Chief Executive Officer

Director

Chairman

ACNABIN Dhaka Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited
Notes to the Financial Statements
For the year ended 31 December 2020

1 Reporting entity

1.01 Company profile

Bangladesh Infrastructure Finance Fund Limited hereinafter also referred to as 'BIFFL' started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act 1994 (ACT XVIII of 1994). The authorized share capital of the Company is BDT100 (one hundred) billion divided into 1 (one) billion shares of BDT100 each and the subscribed share capital or paid-up capital is BDT23.08 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act 1993.

Presently, the Company has an 8-member Board of Directors. The overall policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes: Senior Secretary, Finance Division, MoF; Senior Secretary, Power Division, MoPEMR; Secretary, Road Transport and Highways' Division, MoRT&B; Secretary, Bridges Division, MoRT&B; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Prime Minister's Office; Secretary, Economic Relations Divisions, MoF; and Additional Secretary, Finance Division, MoF. The Senior Secretary, Finance Division, Ministry of Finance is the Chairman of the Board. The CEO is an ex-officio member of the Board.

1.02 Nature of business

The Government of Bangladesh (GoB) has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the GoB has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as channel for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest in companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to supplement in achieving Vision 2021, SDG 2030 and Vision 2041 of the Government through investment in infrastructure as well as sustainable development projects; to ensure adequate infrastructure development of the country through promotion of PPP; to cater to the requirements of critically important infrastructure projects through customized and structured financial solutions; and to bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2 Significant accounting policies and basis of preparation of financial statements

2.01 Statement of compliance and basis of preparation

The Financial Reporting Act, 2015 (FRA) has been enacted during the year 2015. Under the FRA, the Financial Reporting Council (FRC) is to be formed and it is empowered to issue financial reporting standards for public interest entities such as Financial Institutions (FIs). The Financial Institutions Act, 1993 has been amended as required to comply for the preparation of their financial statements under such financial reporting standards. The FRC has been formed but yet to issue any financial reporting standards as per the provisions of the FRA and hence International Financial Reporting Standards (IFRSs) as adopted in Bangladesh are still applicable.

ACNABIN AC Dhaka Chartered Accountants

Accordingly, the financial statements of the Company continue to be prepared in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Financial Institutions Act, 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987. In case of any requirement of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank, which differ with those of IFRSs, the requirements of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank shall prevail. The financial statements have been prepared on historical cost basis.

2.02 Disclosure of departure from few requirements of IASs/IFRSs due to mandatory compliance of Bangladesh Bank's requirements

The Bangladesh Bank is the prime regulatory body for Non-Banking Financial Institutions (NBFI) in Bangladesh. Some requirements of Bangladesh Bank's rules and regulations differ with the requirements of IASs/IFRSs. As such the Company has departed from those contradictory requirements of IASs/IFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.02.01 Valuation of Investments in quoted and unquoted shares and securities

IFRS:

As per requirements of IFRS 9, classification and measurement of investment in shares and securities will depend on how these are managed (the entity's business model) and their contractual cash flow characteristics. Based on these factors it would generally fall either under "at fair value through profit or loss account" or under "at fair value through other comprehensive income" where any change in the fair value (as measured in accordance with IFRS 13) at the year-end is taken to profit and loss account or other comprehensive income respectively.

Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002 investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited balance sheet respectively. Provision should be made as per Bangladesh Bank DFIM circular No. 02 dated January 31, 2012 for investments in marketable securities and as per Bangladesh Bank DFIM circular No. 05 dated May 11, 2015 for Mutual funds.

There is no financial impact during the year.

2.02.02 Provision on loans and advances

IFRS:

As per IFRS 9 an entity shall recognise an impairment allowance on loans and advances based on expected credit losses. At each reporting date, an entity shall measure the impairment allowance for loans and advances at an amount equal to the lifetime expected credit losses if the credit risk on these loans and advances has increased significantly since initial recognition whether assessed on an individual or collective basis considering all reasonable information, including that which is forward-looking. For those loans and advances for which the credit risk has not increased significantly since initial recognition, at each reporting date, an entity shall measure the impairment allowance at an amount equal to 12 month expected credit losses that may result from default events on such loans and advances that are possible within 12 months after reporting date.

Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013, a general provision at 0.25% to 5% under different categories of unclassified loans (good/ standard loans) has to be maintained irrespective of objective evidence of impairment on loans and advances. Also provision for sub-standard investments, doubtful investments and bad losses has to be provided at 20%, 50% and 100% respectively for investments depending on the duration of overdue.

2.02.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in IFRS 9. As such some disclosure and presentation requirements of IFRS 7 'Financial Instruments: Disclosures' and IAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

Presentation of financial statements is not fully aligned with all the requirements of IAS/IFRS.

ACNABIN Dhaka Chartered Accountants

2.02.04 Financial guarantees

IFRS:

As per requirements of IFRS 9, financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

There will be no financial changes due to departure

2.02.05 Cash and cash equivalents

IFRS:

Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash and only include those investments which are for a short tenure like: 3 months or less period. In the light of above, balance with Bangladesh Bank and fixed term deposits should be treated as investment asset rather than cash equivalents as it is illiquid asset and not available for use in day to day operations.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements vide DFIM circular No. 11, dated 23 December 2009 which will strictly be followed by all NBFIs. The templates of financial statements provided detail presentation for statement of cash flows.

Presentation of financial statements is not fully aligned with the requirement of IAS.

2.02.06 Non-banking assets

IFRS:

There is no particular/specific guideline about non-banking assets in IFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, there must exist a face item named non-banking asset.

This is a presentation issue and there is no financial impact

2.02.07 Statement of cash flows

IFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, statement of cash flows is a mixture of direct and indirect method.

Presentation of statement of cash flows is not fully aligned with the requirement of IAS and there is no financial impact.

2.02.08 Balance with Bangladesh Bank

IFRS:

Balance with Bangladesh Bank should be not be treated as cash and cash equivalents as it is not available for use in day to day operations as per IAS 7 'Statement of Cash Flows'.

ACNABIN Dhaka Chartered Accountants

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

This is a presentation issue and there is no financial impact

2.02.09 Off balance sheet items

IFRS:

As per IFRS, there is no mandatory requirement for disclosure of off-balance sheet items on the face of the balance sheet.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, off balance sheet items e.g. Letter of Credit, Letter of Guarantee, Acceptance must be disclosed separately on the face of balance sheet.

This is a presentation issue and there is no financial impact

2.02.10 Disclosure of appropriation of profit

IFRS:

There is no mandatory requirement to show appropriation of profit in the face of the profit and loss account.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, an appropriation of profit should be disclosed on the face of profit and loss account.

There is no financial impact for this departure during the year.

2.02.11 Other comprehensive income

IFRS:

As per IAS 1 'Presentation of Financial Statements', other comprehensive income is a component of financial statements or the elements of other comprehensive income are to be included in a single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include other comprehensive income; and the elements of other comprehensive income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the other statement of comprehensive income. However elements of OCI, if any, are shown in the Statement of Changes in Equity.

There is no financial impact for this departure during the year.

2.02.12 Loans and advances net of provision

IFRS:

As per IFRS 9, Loans and advances should be presented as net of provision.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

There is no financial impact for this departure during the year.

2.02.13 Recognition of interest in suspense

IFRS:

Loans and advances to customers are generally classified at amortised cost as per IFRS 9 and interest income is recognised in profit and loss account by using the effective interest rate method to the gross carrying amount over the term of the loan. Once a loan subsequently become credit-impaired, the entity shall apply the effective interest rate to the amortised cost of these loans and advances.

ACNABIN Dhaka Chartered Accountants

Bangladesh Bank:

As per FID circular no. 8 dated 3 August 2002, once a loan is classified as impaired, interest on such loans are not allowed to be recognised as income, rather the corresponding amount needs to be credited to an interest in suspense account, which is presented as liability in the balance sheet.

Charging of interest on impaired assets is not fully aligned with IAS/IFRS.

2.03 Components of the financial statements

The financial statements comprise of (As per DFIM circular No. 11, Dated 23 December 2009):

a) Balance Sheet as at 31 December 2020;
b) Profit and Loss Account for the year ended 31 December 2020;
c) Statement of Cash Flows for the year ended 31 December 2020;
d) Statement of Changes in Equity for the year ended 31 December 2020;
e) Liquidity Statement for the year ended 31 December 2020 and
f) Notes to the Financial Statements for the year ended 31 December 2020.

2.04 Use of estimates & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect for the year ended 31 December 2020 is included in the following notes:

a) Note 9.2 Deferred tax assets;
b) Note 13.1 Provision for Income tax;
c) Note 13.3 Deferred tax liabilities;
d) Note 13.4 Employee benefit liabilities (provision for gratuity);
e) Note 13.5 Provision for lease, loans, advances, investment, and others;
f) Note 18.1 Letter of guarantee (contingent liabilities);
g) Note 32 Depreciation and repairs of company's assets.

2.05 Going Concern

The Company has adequate resources to continue its operation for the foreseeable future. For this reason, the directors continue to adopt a going concern basis in preparing the financial statements. The Company's current credit facilities and resources provide sufficient funds to meet the current requirements of its existing businesses and operations.

The outbreak of COVID-19 across the world has resulted in disruptions in business activities everywhere. COVID-19 poses existential threats to a business's ability to survive, which in turn have significant financial reporting impacts from going concerned and liquidity to recoverability and valuation of assets.

However, the COVID-19 virus can evolve in various directions. If society, and as a consequence business, is exposed to COVID-19 for a longer period, this may result in prolonged negative results and pressure on our liquidity and profitability. However, the Company has taken and will take various measures to keep the Company's going concern status.

ACNABIN ★ Dhaka ★ Chartered Accountants

Response to address the COVID-19 effects:

a) This includes ensuring adequate safety and health measures for the employees like social distancing and working from home to ensure the safety of the employees;

b) Prudent balance sheet and cash management to ensure enough liquidity to manage all obligations;

c) Introducing and implementing contingency plans for liquidity and putting into controls for regular monitoring;

d) Effective cost control measures are already in place to combat the unprecedented situation;

Furthermore, the management continuously monitors the Company's key ratios and is confident enough to undertake all crisis management and business continuity measures. The Company's management has performed an extensive analysis on the possible impact and has responded through adequate measures mitigating possible impacts. By conducting a stringent review and assessing the levels of facilities expected to be available to the Company, the management strongly believes that the BIFFL has adequate resources for at least 12 months from the date of authorized for issue of the financial statements.

So, based on the facts and circumstances known at this moment, the management believes there is no material uncertainty that may cast any doubt upon the Company's ability to continue as a going concern.

2.06 Materiality and aggregation

Each material item considered by management as significant has been presented separately in the financial statements. No amount has been set off unless the Company has a legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

2.07 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with IAS 1 'Presentation of Financial Statements' and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL applies the accounting disclosures and principles consistently from one period to the next. Where selecting and applying new accounting policies, changes in accounting policies applied, correction of errors, the amounts involved are accounted for and disclosed in accordance with the requirement of IAS 8.

2.08 Reporting period

The financial period of the Company was determined from 1 January to 31 December and followed consistently. These financial statements cover one year starting from 1 January 2020 to 31 December 2020.

2.09 Functional and presentation currency

The figures of the Financial Statements are presented in Bangladesh Taka (BDT/Taka/Tk.) which is Company's functional currency. All financial Information presented in Taka has been rounded off to the nearest integer except otherwise indicated.

2.10 Assets and basis of their valuation

2.10.01 Cash and cash equivalents

Cash and cash equivalents comprises cash in hand, balance with Bangladesh Bank, cash at bank, term deposits, money at call and short notice that are readily convertible to a known amount of cash and that are subject to an insignificant risk of change in value. Cash and cash equivalents are shown as per DFIM circular no. 11 dated 23 December 2009.

2.10.02 Investment in securities

Investment in non-marketable shares have been shown at cost. The Company has no investment in marketable securities.

Provision for investment

BIFFL maintains provision on the outstanding balance of investment following the classification as reported in FICL submitted to Bangladesh Bank on quarterly basis.

ACNABIN Dhaka Chartered Accountants

2.10.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instructions given in FID circular no. 08 dated 3 August 2002 and FID circular no. 03 dated 03 May 2006.

Interest on loans and advances

Interest is calculated on a daily product basis and is recognized as revenue on accrual basis. However, interest income under category of classified and Special Mention Account (SMA) account is not recognised as income but credited to interest suspense account as per Bangladesh Bank circulars and directives. In addition to above interest due on standard loans are also transferred to suspense accounts on judgmental basis. No interest is charged on bad and loss loans as per guidelines of Bangladesh Bank.

Provision for loans and advances

Provision for loans, advances and investments is an estimate of the losses that may be sustained in the investment portfolio. The methodology for measuring the appropriate level of the provision relies on several key elements, which include both quantitative and qualitative factors as set forth in the Bangladesh Bank guidelines. Provision for loans and advances are made on quarter basis as per the instructions given in FID circular no. 08 dated 03 August 2002, FID circular no. 03 dated 03 May 2006 and FID circular no. 03 dated 29 April 2013 of Bangladesh Bank.

Rate of provision

General Provision on unclassified loans and advances and specific provision on classified loans & advances are made as per below rate:

Particulars	Rate
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the Balance Sheet.

Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.10.04 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per IAS 16 'Property, Plant and Equipment'.

Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. Depreciation method, useful lives and residual values are reviewed at each reporting date. The depreciation on newly acquired assets is charged from the date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & land development	0%
Computer & IT equipment	33%

ACNABIN Dhaka Chartered Accountants

Office equipment	20%
Furniture & fixtures	10%
Motor vehicles	20%
Building	10%
Electronics	12.5%
Civil construction	50%
Websites & software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

As per clause 6.2 of the Accounts and Finance Manual, BIFFL charges depreciation at the above-mentioned rate consistently on a straight-line basis. However, at the end of the reporting period expectations differ from previous estimates regarding the useful life of the Building (Floor Space). In this regard, the management of BIFFL intends to change its useful life from 10 years to a reasonable period considering the market practice and directions of IAS 16. This revision of the useful life of the building will be placed before the Board for approval.

Impairment

The carrying amount of the entity's non financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. However, no such conditions that might be suggestive of a heightened risk of impairment existed at the reporting date.

2.10.05 Intangible assets

An intangible asset is recognised if it is probable that future economic benefits that are attributable to the asset will flow to the Company over a period of time and the cost of the asset can be measured reliably as per IAS 38 'Intangible Assets'. Intangible assets acquired separately are recorded on initial recognition at costs and are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

Subsequent expenditure on intangible assets

Subsequent expenditure on intangible asset is capitalised only when it increases the future economic benefit from the assets. All other expenditures are recognised as expense as and when they are incurred.

Amortisation of intangible assets

Intangible assets are amortized on straight line basis to the profit and loss account from the date when the asset is available for use over its estimated useful life as follows:

Items of intangible Assets	Estimate useful life
Computer software	2 years

2.10.06 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamps. Details are shown in Note-9. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.10.07 Non-banking assets

Non-banking assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.11 Basis for valuation of liabilities and provisions

2.11.01 Provision for tax

a. Current tax

Provision for current tax has been made on the basis of the profit of the year as adjusted for taxation purpose in accordance with the provisions of Income Tax Ordinance, 1984 and amendments made thereto from time to time. The Company's current tax liability is calculated using applicable tax rate on the reporting date, and any adjustments to tax payable in respect of previous years.

ACNABIN Dhaka Chartered Accountants

b. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

a) Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;

b) Temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and

c) Taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of investment property measured at fair value is presumed to be recovered through sale, and the Company has not rebutted this presumption.

2.11.02 Employees' benefit obligation

Defined contribution plan

The Company operates a contributory provident fund scheme for its permanent employees. Provident Fund is administered by a Board of Trustees and is funded by contributions equally from the permanent employees and from the Company @ 10% of basic salary of the employees. The contributions are invested to ensure optimum return to the employees.

Defined benefit plan

The Company operates a funded gratuity scheme for its permanent employees.

Short term benefit

Short-term employee benefit (salary, bonus etc.) obligations are measured on an undiscounted basis and are expensed as the related service is provided.

Other employee benefit obligation

The Company operates a group life insurance and hospitalisation insurance schemes for its permanent employees.

Workers profit participation and welfare fund (WPPF)

Establishment of Workers' Profit Participation and Welfare Fund (WPPF) is a matter of Banking and Financial Institutions Sector as a whole. Ministry of Finance through its letters no. 53.00.0000.311.22.002.17-130 dated February 14, 2017 and no. 53.00.0000.311.22.002.17-140 dated February 25, 2018 expressed its opinion that Chapter 15 on "Participation in Company Profits by Workers" in the Bangladesh Labor Act 2006 and amendments made therein on July 22, 2013 should not be applicable for Banks and Financial Institutions and requested to the Ministry of Labor and Employment to take necessary steps in this regard as well as not to apply the said chapter of Labor Act 2006 for Banks and Financial Institutions. Therefore, like other Banks and Financial Institutions, BIFFL did not recognize the WPPF.

2.11.03 Accrued expenses, provisions and payables

Liabilities are recognised for goods and services received, whether paid or not, for those goods and services. Payables are not interest bearing and are stated at their actual value.

Provisions and accrued expenses are recognised in the financial statements when the Company has a legal or constructive obligation as a result of past event and it is probable that an outflow of economic benefit will be probable to settle the obligation and a reliable estimate can be made of the amount of the obligation.

ACNABIN Dhaka Chartered Accountants

2.12 Capital and shareholders' equity

2.12.01 Capital management

The Company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the Company and provide the Company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the Company. The company's finance and risk management department are key to implementing the Company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.12.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.12.03 Statutory reserve

As per Financial Institution Regulations, 1994, Non-Bank Financial Institutions (NBFIs) are required to transfer 20% of its post tax profit to statutory reserve before declaration of dividend. This requirement has been properly complied with.

2.12.04 Dividends payment

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders.

2.13 Earnings per share

The Company presents basic and diluted EPS data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

2.14 Contingent assets & liabilities

Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or Any present obligation that arises from past events but is not recognised because:

a) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or

b) the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits can reliably be estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.15 Director's responsibility statement

The Board of Directors is responsible for the presentation of the financial statements under section 183 of the Companies Act, 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements'.

2.16 Related party disclosure

As per IAS 24 Related Party Disclosures, parties are considered to be related if one of the parties has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties.

ACNABIN Dhaka Chartered Accountants

2.17 Litigation

The Company is not a party to any material law suits except those arising in the normal course of business. The Company has filed necessary law suits against some of the default clients for non-performance in repayment of investment. The Company, however, has made adequate provision against such doubtful finances.

2.18 Borrowings from other banks, financial institutions and agents

Borrowings include short term and long term borrowings from banks and non-bank financial institutions. These are stated at amounts outstanding on the reporting date. Interest expense on these borrowings is charged to the profit and loss account on accrual basis.

2.19 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of assets and liabilities as of the close of the reporting period as per following bases:

- Balance with other Company's and financial institutions are on the basis of their maturity term;
- Investments are on the basis of their residual maturity term;
- Loans and advances are on the basis of their repayment /maturity schedule;
- Property, plant and equipment are on the basis of their useful lives;
- Other assets are on the basis of their adjustments terms;
- Borrowings from other Companies and financial institutions are on the basis of their maturity/repayment
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends;
- Other liabilities are on the basis of their settlement terms.

2.20 Events after the reporting period

Events after the reporting period that provide additional information about the Company's position at the statement of financial position date are reflected in the financial statements in Note no. 47 as per IAS 10 'Events after the reporting period'.

2.21 Comparatives and reclassification

Comparative information have been disclosed in respect of 2019 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current period's financial statements.

To facilitate comparison, certain relevant balances pertaining to the comparatives have been rearranged /restated /reclassified whenever considered necessary to conform to current period's presentation.

2.22 Compliance Report on International Accounting Standards (IASs) and International Financial

Sl. No.	IFRS/ IAS No.	Name of the IFRS/IAS	Status
1	IFRS-1	First Time adoption of IFRS	Not Applicable
2	IFRS-2	Share based payment	Not Applicable
3	IFRS-3	Business combinations	Not Applicable
4	IFRS-4	Insurance contracts	Not Applicable
5	IFRS-5	Non-current assets held for sales and discontinued operations	Not Applied**
6	IFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	IFRS-7	Financial instruments disclosures	Applied*
8	IFRS-8	Operating segments	Not Applicable
9	IFRS-9	Financial instruments	Applied*
10	IFRS-10	Consolidated financial statements	Not Applicable
11	IFRS-11	Joint arrangements	Not Applicable
12	IFRS-12	Disclosure of interest in other entities	Not Applicable
13	IFRS-13	Fair value measurement	Applied
14	IFRS-14	Regulatory Deferral Accounts	Not Applicable
15	IFRS-15	Revenue from contracts with customers	Applied*
16	IFSR-16	Leases	Not Applicable
17	IFSR-17	Insurance Contracts	Not applicable
18	IAS-1	Presentation of financial statements	Applied*
19	IAS-2	Inventories	Not Applicable
20	IAS-7	Cash flow statements	Applied*

ACNABIN Dhaka Chartered Accountants

21	IAS-8	Accounting policies, changes in accounting estimates and errors	Not Applied**
22	IAS-10	Events after the reporting period	Applied
23	IAS-12	Income taxes	Applied
24	IAS-16	Property, plant and equipment	Applied
25	IAS-19	Employee benefits	Applied
26	IAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable**
27	IAS-21	The effects of changes in foreign exchange rates	Not Applicable**
28	IAS-23	Borrowing costs	Not Applicable**
29	IAS-24	Related party disclosures	Applied
30	IAS-26	Accounting and reporting by retirement benefit plans	Not Applicable
31	IAS-27	Consolidated and separate financial statements	Not Applicable
32	IAS-28	Investments in associates	Not Applicable
33	IAS-31	Interest in joint ventures	Not Applicable
34	IAS-32	Financial instruments: presentation	Applied*
35	IAS-33	Earnings per share	Applied
36	IAS-34	Interim financial reporting	Applied
37	IAS-36	Impairment of assets	Applied*
38	IAS-37	Provision, contingent liabilities and contingent assets	Applied*
39	IAS-38	Intangible assets	Applied
40	IAS-40	Investment property	Not Applicable
41	IAS-41	Agriculture	Not Applicable

*As the regulatory requirements differ with the standards, relevant disclosures have been made in accordance with Bangladesh Bank's requirements.

** Applicable but not applied in the reporting period as no relevant transactions were available.

2.23 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risk sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December 2011. The guidelines came into force from 1 January 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar- 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a financial institution. A standardized approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- the risks pertaining to interest rate related instruments and equities in the trading book;
- foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

ACNABIN Dhaka Chartered Accountants

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.24 Stress testing

Stress Testing is an important risk management tool that is used by the financial institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

i. Providing forward-looking assessment of risk;
ii. Overcoming limitations of models and historical data;
iii. Supporting external and internal communication;
iv. Feeding into capital and liquidity planning procedures;
v. Informing the setting of an FI's risk tolerance; and
vi. Facilitating the development of risk mitigation or contingency plans across a range of stressed

Stress Testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

2.25 IT systems and control

Information Technology forms an integral part of the NBFI's Corporate Governance. It deals primarily with optimizing the linkage between Strategic Direction and Information Systems Management of the Company. In this regard, implementation of the organizational structure with well-defined roles for the responsibility of information, business processes, applications, infrastructure, etc. generates value for our stakeholders while mitigating the risks associated with incorrect deployment and use of Information Technology. IT and MIS d is department constantly working towards the development and implementation of new technologies to enable the organization to meet future market demand.

2.26 Prevention of money laundering

In recognition of the fact that financial institutions are particularly vulnerable to money laundering, BIFFL has established an Anti Money Laundering Policy. The purpose of this policy is to provide a guideline to comply with all laws and regulations regarding money laundering, both at country and international levels, to safeguard the Company from potential compliance, financial and reputational risks. Further, Know Your Customer (KYC) procedures have been set up for the borrowers. Training is also given as a continuous process for creating/developing awareness among the relevant officers. As per the regulatory obligation, the Chief Executive Officer (CEO) of the Company clearly and effectively declares BIFFL's stance to prohibit anti money laundering and financing for terrorism each year. The declaration of CEO also includes necessary operational guidelines to implement the same.

2.27 Legal & regulatory compliance

The Company's procedures are in place to ensure compliance with mandatory Bangladesh Bank's instructions and the statutory requirements are under close scrutiny. The Company monitors due compliance with all relevant laws & regulations. The system of internal controls, including financial, operational and compliance controls and risk management systems, are maintained by the Company's management and that was in place throughout the financial year and up to and as of the date of this report, is adequate to meet the needs of current business environment and to comply with the legal & regulatory requirements.

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19

3 Cash

	31-Dec-20	31-Dec-19
Cash in hand (Note- 3.1)	89,501	139,187
Balance with Bangladesh Bank and its agent bank(s) (Note- 3.2)	1,597,259	30,945,300
	1,686,760	**31,084,487**

3.1 Cash in hand

	31-Dec-20	31-Dec-19
In local currency	89,501	139,187
In foreign currency	-	-
	89,501	**139,187**

3.2 Balance with Bangladesh Bank and its agent bank(s)

	31-Dec-20	31-Dec-19
Balance with Bangladesh Bank	1,597,259	30,945,300
In foreign currency	-	-
	1,597,259	**30,945,300**

3.3 Balance with Bangladesh Bank

Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note- 3.4) and Statutory Liquidity Reserve (note- 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID circular no. 06 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004.

3.4 Cash Reserve Requirement (CRR)

CRR is calculated at the rate of 2.5% on total term deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004. Total term deposits mean term or fixed deposits, security deposit against lease/loan and other term deposits received from individuals and institutions (except banks and financial institutions).

	31-Dec-20	31-Dec-19
Required reserve	-	12,615,451
Actual reserve held (Balance with BB)	1,597,259	30,945,300
Surplus/(Deficit)	**1,597,259**	**18,329,849**

3.5 Statutory Liquidity Reserve (SLR)

SLR has been calculated at the rate of 5% of total liabilities less borrowing from other banks & FIs and Bangladesh Bank . SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.

	31-Dec-20	31-Dec-19
Required reserve	612,791,715	501,404,556
Actual reserve held	12,513,770,953	7,983,719,368
Surplus/(Deficit)	**11,900,979,238**	**7,482,314,812**

4 Balance with other banks and financial institutions

	31-Dec-20	31-Dec-19
Inside Bangladesh		
Current accounts (Note- 4.1)	2,281	1,099,504
Short noticed deposit accounts (Note- 4.2)	6,147,232,696	1,675,140,464
Fixed deposit accounts (Note- 4.3)	6,364,849,216	6,289,010,363
	12,512,084,193	**7,965,250,332**
Outside Bangladesh	-	-
	12,512,084,193	**7,965,250,332**

The company does not maintain any account outside Bangladesh.

4.1 Current account

	31-Dec-20	31-Dec-19
Dutch Bangla Bank Ltd.	425	1,096,613
Uttara Bank Ltd.	1,856	2,891
	2,281	**1,099,504**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19

4.2 Short noticed deposit account

	31-Dec-20	31-Dec-19
United Commercial Bank Ltd.	769	7,929,694
Shahjalal Islami Bank Ltd.	-	257,487,415
Sonali Bank Ltd.	1,081,076,702	1,378,133
Agrani Bank Ltd.	5,066,155,225	1,408,345,223
	6,147,232,696	1,675,140,464

4.3 Fixed deposit accounts

	31-Dec-20	31-Dec-19
BD Finance and Investment Ltd.	48,400,000	85,943,106
Bangladesh Industrial Finance Company (BIFC) Ltd.	637,644,021	595,321,762
Fareast Finance and Investment Ltd.	368,055,311	350,000,000
Padma Bank Ltd.	1,090,395,157	1,127,232,034
FAS Finance and Investment Ltd.	659,149,870	613,171,089
First Finance Ltd.	217,842,133	208,500,000
ICB Islamic Bank Ltd.	402,753,072	443,370,234
International Leasing and Financial Services Ltd.	864,973,478	794,540,275
Meridian Finance and Investment Ltd.	350,000,000	370,000,000
NRB Commercial Bank Ltd.	-	10,000,000
Peoples Leasing and Financial Services Ltd.	607,090,552	607,090,552
Premier Leasing and Finance Ltd.	305,891,995	291,316,293
Prime Finance and Investment Ltd.	253,375,000	250,000,000
Aviva Finance Ltd. (Reliance Finance Ltd.)	145,000,000	162,135,000
Union Capital Ltd.	414,278,627	380,390,018
	6,364,849,216	6,289,010,363

BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and covid pandemic situation, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuassion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against this investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has decided to build some provision against these FDRs.

In addition, Bangladesh Bank vide letter no. FII(I-06/02)/2021-278 dated 04 April 2021 has given their consent to finalize the financial statements of BIFFL with the present provision status against FDR accounts and advised to build up the provision gradually.

4.4 Maturity grouping of balance with banks and other financial institutions

	31-Dec-20	31-Dec-19
On demand	2,281	1,099,504
Up to 1 month	6,849,142,317	3,385,172,698
Over 1 month but not more than 3 months	2,588,189,679	4,578,978,130
Over 3 months but not more than 1 year	-	-
Over 1 year but not more than 5 years	3,074,749,917	-
Over 5 years	-	-
	12,512,084,193	7,965,250,332

5 Money at call and short notice

	31-Dec-20	31-Dec-19
Bangladesh Commerce Bank Ltd.	-	-
FAS Finance & Investment Ltd.	26,900,000	27,400,000
	26,900,000	27,400,000

6 Investments

	31-Dec-20	31-Dec-19
Investment classified as per nature:		
Government bond (Note- 6.1)	-	-
Other investments (Note- 6.2)	3,169,028,755	3,255,862,186
	3,169,028,755	3,255,862,186

6.1 Government bond

	31-Dec-20	31-Dec-19
Treasury bills	-	-
National investment bonds	-	-
Bangladesh Bank bills	-	-
Government notes/bonds	-	-
Others	-	-
	-	-

BIFFL has no investment in government bond.

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19

6.2 Other investments

	31-Dec-20	31-Dec-19
Investment in preference share (Note- 6.2.1)	1,850,121,210	1,862,424,240
Investment in commercial paper (Note- 6.2.2)	250,000,000	250,000,000
Investment in bond (Note- 6.2.3)	1,068,907,546	1,143,437,946
	3,169,028,755	**3,255,862,186**

6.2.1 Investment in preference Share

	31-Dec-20	31-Dec-19
Rajlanka Power Company Ltd.	145,454,543	242,424,240
Doreen Power House & Technologies Ltd.	400,000,000	400,000,000
Ace Alliance Power Ltd.	291,666,667	350,000,000
Kushiara Power Company Ltd.	513,000,000	570,000,000
Bhairab Power Ltd.	200,000,000	200,000,000
Zodiac Power Chittagong Ltd.	200,000,000	-
Summit Gazipur II Power Ltd.	100,000,000	100,000,000
	1,850,121,210	**1,862,424,240**

6.2.2 Investment in commercial paper

	31-Dec-20	31-Dec-19
Computer Source Ltd.	250,000,000	250,000,000
	250,000,000	**250,000,000**

6.2.3 Investment in bond

	31-Dec-20	31-Dec-19
IDLC zero coupon bond	68,907,546	143,437,946
Ashuganj Power Station Company Ltd.	1,000,000,000	1,000,000,000
	1,068,907,546	**1,143,437,946**

6.2.4 Residual maturity grouping of investments

	31-Dec-20	31-Dec-19
Up to 1 month	20,000,000	
Over 1 month but not more than 3 months	79,371,761	62,238,315
Over 3 months but not more than 1 year	368,505,480	304,595,116
Over 1 year but not more than 5 years	2,406,484,847	1,762,362,089
Over 5 years	294,666,667	1,126,666,666
	3,169,028,755	**3,255,862,186**

7 Leases, loans and advances

	31-Dec-20	31-Dec-19
a) Inside Bangladesh		
Leases (Note- 7.1)	-	-
Loans	18,361,145,945	18,922,252,016
Cash credits	-	-
Overdrafts	-	-
Sub-total	18,361,145,945	18,922,252,016
b) Outside Bangladesh	-	-
Total	**18,361,145,945**	**18,922,252,016**

7.1 Leases

	31-Dec-20	31-Dec-19
	-	-

7.2 Sector wise leases, loans and advances

	31-Dec-20	31-Dec-19
Public sector	3,967,651,794	4,867,672,027
Co-operative sector	-	-
Private sector	14,393,494,069	14,054,579,989
	18,361,145,863	**18,922,252,016**

7.3 Residual maturity grouping of leases, loans and advances

	31-Dec-20	31-Dec-19
On demand	-	-
Up to 1 month	224,830,057	-
Over 1 month but not more than 3 months	1,290,731,092	682,184,881
Over 3 months but not more than 1 year	2,522,445,632	2,046,554,642
Over 1 year but not more than 5 years	8,921,073,612	9,550,588,327
Over 5 years	5,402,065,552	6,642,924,167
	18,361,145,945	**18,922,252,016**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19

7.4 Leases, loans and advances on the basis of significant concentration

	31-Dec-20	31-Dec-19
a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-
b. Leases, loans and advances to Chief Executive Officer and other senior executives	15,328,299	14,582,864
c. Leases, loans and advances to customer groups		
Large infrastructure projects	-	-
Sustainable and eco-friendly projects	12,015,181,175	12,999,178,275
SME- Women entrepreneurs	6,297,549,198	5,863,192,709
	33,087,192	45,298,168
	18,361,145,863	**18,922,252,016**
d. Leases, loans and advances on sector basis:		
i) Textiles	14,878,345	10,817,309
ii) Garments and accessories	3,042,960,097	2,798,249,374
iii) Transport (including marine transport)	2,573,528,755	3,564,884,028
iv) Chemicals and pharmaceuticals	-	-
v) Iron, steel and engineering	1,561,468,924	1,188,523,409
vi) Agricultural equipment and agro industries	-	-
vii) Power and energy	3,132,893,944	2,497,143,758
viii) Electronics and electrical	255,814,404	276,754,544
ix) Information technology (IT)	192,731	-
x) Paper printing and packaging	-	-
xi) Plastic	125,472,391	4,415,305
xii) Real estate and housing	-	-
xiii) Food and beverage	4,128,167	5,564,814
xiv) Glass and ceramics	2,168,226,739	1,924,139,629
xv) Services	1,206,784,552	1,100,286,937
xvi) Others	4,274,796,896	5,551,472,909
	18,361,145,945	**18,922,252,016**

7.5 Leases, loans and advances on geographical basis

	31-Dec-20	31-Dec-19
Inside Bangladesh		
Urban		
Dhaka Division	2,975,063,191	3,488,397,067
Chittagong Division	273,673,229	246,794,276
Khulna Division	-	-
Rajshahi Division	-	-
Barisal Division	-	-
Sylhet Division	-	-
Rangpur Division	-	-
Mymensingh Division	-	-
Sub-total	**3,248,736,420**	**3,735,191,342**
Rural		
Dhaka Division	4,549,563,143	6,780,232,119
Chittagong Division	7,974,033,225	5,212,336,162
Khulna Division	3,485,836	5,175,566
Rajshahi Division	170,347,466	120,089,954
Barisal Division	52,954,396	48,373,975
Sylhet Division	2,202,093,165	2,969,665,398
Rangpur Division	38,886,469	-
Mymensingh Division	121,045,825	51,187,500
Sub-total	**15,112,409,525**	**15,187,060,674**
Outside Bangladesh	-	-
Total	**18,361,145,945**	**18,922,252,016**

7.6 Classification of leases, loans and advances

	31-Dec-20	31-Dec-19
Unclassified		
Standard (STD)	17,812,847,897	18,163,479,034
Special mention account (SMA)	262,556,538	496,870,186
Sub-total	**18,075,404,435**	**18,660,349,220**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19
Classified		
Sub-standard (SS)	285,741,510	261,902,796
Doubtful (DF)	-	-
Bad/Loss (BL)	-	-
Sub-total	285,741,510	261,902,796
Total	18,361,145,945	18,922,252,016

7.7 Particulars of loans, advances and leases

	31-Dec-20	31-Dec-19
i) Loan considered good in respect of which the FI is fully secured	7,670,517,222	6,160,257,420
ii) Loan considered good for which the FI holds no other security than the debtor's personal security	3,404,303,898	4,104,496,516
iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors	7,286,324,824	8,657,498,080
iv) Loan adversely classified; for which no provision is created	-	-
Total	**18,361,145,945**	**18,922,252,016**
v) Loan due by directors or officers of the FI or any of them either jointly or separately with any other persons	15,328,299	14,582,864
vi) Loan due by companies and firms in which the directors of the FI have interests as directors, partners or managing agent or in case of private companies as members	-	-
vii) Maximum total amount of advances, including temporary advances made at any time during the period to directors and managers or officers of the FI or any of them either severally or jointly with any other persons	-	-
viii) Maximum total amount of advances, including temporary advances granted during the period to the companies or firms in which the directors of the FI have interests as directors, partners or managing agents or, in case of private companies as members	-	-
ix) Due from other bank/FI companies	-	-
x) Information in respect of classified loans and advances:	-	-
a) Classified loans for which interest/ profit not credited to income	285,741,510	261,902,796
b) Amount of provision kept against loans classified as bad/loss as at the balance sheet date	-	-
c) Amount of interest credited to the interest suspense account	690,340,594	41,642,241
xi) Cumulative amount of written off loans:		
Opening balance	-	-
Amount written off during the period	-	-
Amount received from written off during the period	-	-
Balance of written off loans and advances yet to be recovered	-	-
The amount of written off loans for which law suits have been filed.	-	-
	-	-

7.8 Bills purchased and discounted

	31-Dec-20	31-Dec-19
Payable inside Bangladesh	-	-
Payable outside Bangladesh	-	-
	-	-

BIFFL has no bills purchased and discounted.

8 Fixed Assets

	31-Dec-20	31-Dec-19
Fixed assets including premises, furniture and fixtures (Note- 8.1)	214,292,676	258,523,044
Capital work in process (Note- 8.2)	8,800,000	8,800,000
	223,092,676	**267,323,044**

8.1 Fixed assets including premises, furniture and fixtures

	31-Dec-20	31-Dec-19
Cost		
Opening balance	402,377,600	397,339,420
Addition during the period (Annexure-A)	351,408	5,038,180
	402,729,008	402,377,600
Disposal/Adjustment during the period	18,424	-
Closing balance (A)	**402,710,584**	**402,377,600**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19
Accumulated Depreciation		
Opening balance	143,854,557	98,694,013
Charged during the period	44,570,022	45,160,544
	188,424,579	143,854,557
Adjustment for disposal during the period	6,671	-
Closing balance (B)	188,417,908	143,854,557
Written down value (A-B)	**214,292,676**	**258,523,044**
Details are in (Annexure -A)		

8.2 Capital work in process

	31-Dec-20	31-Dec-19
Opening balance	8,800,000	8,000,000
Addition during the year	-	800,000
Closing balance	**8,800,000**	**8,800,000**

9 Other assets

	31-Dec-20	31-Dec-19
Advance income tax (Note- 9.1)	4,625,712,118	3,844,024,544
Interest receivables on FDR	49,597,026	60,825,928
Interest receivables on STL	22,417	53,278
Security deposit	303,975	63,975
Advance to suppliers	550,563	360,000
Deferred tax assets (Note- 9.2 and 13.3)	7,200,926	443,512
Advance to staff	2,234,473	1,117,394
Receivables against investment (Note- 9.3)	123,157,352	182,375,360
	4,808,778,850	**4,089,263,991**

9.1 Advance income tax

	31-Dec-20	31-Dec-19
Opening balance	3,844,024,544	3,282,369,130
Income tax deducted at sources	98,133,200	75,765,384
Paid during the period	683,554,373	485,890,030
Closing balance	**4,625,712,118**	**3,844,024,544**

9.1.1 Year to year breakdown of advance income tax payment

	31-Dec-20	31-Dec-19
2014	1,137,841,620	1,137,841,620
2015	1,468,902,697	1,468,902,697
2016	816,773,044	816,773,044
2017	397,143,090	397,143,090
2018	619,980,669	619,980,669
2019	561,655,414	561,655,414
2020	782,143,563	-
Adjustment in 2015	(1,158,271,990)	(1,158,271,990)
	4,626,168,107	**3,844,024,544**

9.2 Deferred tax assets

	31-Dec-20	31-Dec-19
Opening balance	443,512	463,039
Deferred tax income /(expense) during the period	711,700	(19,527)
	1,155,212	**443,512**
Tax deductible temporary difference		
Gratuity payable	2,888,030	1,108,780
Applicable tax rate	40%	40%
Closing deferred tax assets	**1,155,212**	**443,512**

9.3 Receivables against investment

	31-Dec-20	31-Dec-19
Dividend receivable (Note- 9.3.1)	55,969,732	58,774,429
Interest receivable on commercial paper (Note- 9.3.2)	33,887,233	34,187,233
Interest receivable on zero coupon bond (Note- 9.3.3)	33,300,388	89,413,698
	123,157,352	**182,375,360**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19
9.3.1 Receivables on preference share		
Rajlanka Power Company Ltd.	4,063,429	6,385,388
Doreen Power House & Technologies Ltd.	7,333,333	27,232,877
Ace Alliance Power Ltd.	1,598,173	1,917,808
Kushiara Power Company Ltd.	14,898,082	16,709,589
Bhairab Power Ltd.	3,956,166	4,008,219
Zodiac Power Chittagong Ltd.	21,600,000	-
Summit Gazipur II Power Ltd.	2,520,548	2,520,548
	55,969,732	**58,774,429**
9.3.2 Receivables on commercial paper		
Computer Source Ltd.	33,887,233	34,187,233
	33,887,233	**34,187,233**
9.3.3 Receivables on bond		
IDLC Zero Coupon Bond	9,913,775	8,002,739
Ashuganj Power Station Company Ltd.	23,386,612	81,410,959
	33,300,388	**89,413,698**
10 Non banking assets	-	-
11 Borrowings from banks, other financial institutions and agents		
Inside Bangladesh (Note- 11.1)	711,076,787	754,916,849
Outside Bangladesh (Note- 11.2)	4,133,237,119	3,411,670,745
	4,844,313,906	**4,166,587,594**
11.1 Inside Bangladesh		
Advance from BB Refinance Scheme	711,076,787	754,916,849
Secured overdraft and STL	-	-
	711,076,787	**754,916,849**
11.2 Outside Bangladesh		
Borrowing from EECPFP JICA Loan No. BD-P90	3,728,001,236	3,154,756,597
Borrowing from IPFF II of World Bank	405,235,883	256,914,148
	4,133,237,119	**3,411,670,745**
11.2.1 Borrowing from EECPFP JICA Loan No. BD-P90		
Principal borrowing	3,648,926,951	3,107,500,000
Interest due	79,074,284	47,256,597
	3,728,001,236	**3,154,756,597**
11.2.2 Borrowing from IPFF II of World Bank		
Principal borrowing	378,843,514	250,000,000
Interest due	26,392,369	6,914,148
	405,235,883	**256,914,148**
12 Deposits and other accounts		
Current deposits and other accounts	-	-
Bills payable	-	-
Savings deposits	-	-
Term deposits	-	504,618,055
Bearer certificate of deposit	-	-
Other deposits	-	-
	-	**504,618,055**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19

13 Other liabilities

	31-Dec-20	31-Dec-19
Provision for income tax (Note- 13.1)	5,120,425,388	4,481,795,907
Account payables (Note- 13.2)	10,533,441	3,662,914
Advance income	5,202,624	4,116,000
Provision for leases, loans, advances and others (Note- 13.5)	1,671,846,464	1,171,846,464
Deferred tax liabilities (Note- 13.3)	-	973,401
Employee benefit liabilities (Note- 13.4)	3,222,615	1,783,378
Audit fees payable	386,750	386,750
Security deposit payable	109,418	97,418
Interest suspense account (Note- 13.6)	1,277,763,809	434,356,267
Interest payable	33,106,681	12,783,825
	8,122,597,189	**6,111,802,323**

13.1 Provision for income tax

	31-Dec-20	31-Dec-19
Opening balance	4,481,795,907	3,721,360,000
Addition during this period	638,629,481	760,435,907
Less : Adjustment of AIT	-	-
Closing balance	**5,120,425,388**	**4,481,795,907**

13.2 Account payables

	31-Dec-20	31-Dec-19
Withholding and payroll tax	326,413	370,710
Withholding VAT	245,134	580,105
Bill payables	1,591,118	2,661,979
Provision for incentive bonus	8,272,222	-
Honorarium payable	85,554	-
Salary payable	13,000	47,620
Excise duty payable	-	2,500
	10,533,441	**3,662,914**

13.3 Deferred tax liabilities (Assets)

	31-Dec-20	31-Dec-19
Opening balance	973,401	6,920,674
Deferred tax expense/(income) during the period	(7,019,116)	(5,947,273)
	(6,045,714)	**973,401**

Taxable temporary difference

	31-Dec-20	31-Dec-19
Carrying amount of fixed assets as per accounting base	214,292,676	258,523,044
Carrying amount of fixed assets as per tax base	229,406,962	256,089,540
Taxable temporary difference on fixed assets	(15,114,286)	2,433,503
Applicable tax rate	40.00%	40.00%
Closing deferred tax liabilities (Assets)	(6,045,714)	973,401
Deferred tax liabilities at the beginning of the period	973,401	6,920,674
Deferred tax expense/(income) during the period	**(7,019,116)**	**(5,947,273)**

13.4 Employee benefit liabilities

Gratuity Fund (GF) payable

	31-Dec-20	31-Dec-19
Opening Balance	1,108,780	1,157,597
Addition during the period	1,779,250	1,108,780
Amount transferred during the period	-	(1,157,597)
Closing Balance (A)	**2,888,030**	**1,108,780**

Contributory Provident Fund (CPF) payable

	31-Dec-20	31-Dec-19
Opening Balance	674,598	529,357
Addition during the period	4,539,775	4,704,005
Amount transferred during the period	(4,879,788)	(4,558,764)
Closing Balance (B)	**334,585**	**674,598**
Total (A+B)	**3,222,615**	**1,783,378**

ACNABIN Dhaka Chartered Accountants

13.5 Provision for leases, loans, advances, investment, and others

	Amount in Taka	
	31-Dec-20	31-Dec-19
General provision		
Leases, loans and advances:		
Opening balance	205,123,298	169,725,821
Addition during the period	-	35,397,477
Closing balance (i)	**205,123,298**	**205,123,298**
Investment:		
Opening balance	31,540,503	13,374,822
Addition/(deduction) during the period	-	18,165,681
Closing balance (ii)	**31,540,503**	**31,540,503**
Closing balance of total general provision i+ii (A)	**236,663,801**	**236,663,801**
Specific provision		
Leases, loans and advances:		
Opening balance	29,883,945	517,200
Addition during the period	-	29,366,745
Closing balance (i)	**29,883,945**	**29,883,945**
Investment:		
Opening balance	250,000,000	250,000,000
Addition during the period	-	-
Closing balance (ii)	**250,000,000**	**250,000,000**
Closing balance of total specific provision i+ii (B)	**279,883,945**	**279,883,945**
Other provision		
Fixed Deposit Receipts (FDRs)		
Opening balance	**654,938,717**	-
Addition during the period	500,000,000	654,938,717
Closing balance (i)	**1,154,938,717**	**654,938,717**
Provision for other assets		
Opening balance	360,000	-
Addition during the period	-	360,000
Closing balance (ii)	**360,000**	**360,000**
Closing balance of total other provision i+ii (C)	**1,155,298,717**	**655,298,717**
Closing balance of total provision maintained (A+B+C)	**1,671,846,464**	**1,171,846,464**

BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and covid pandemic situation, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuassion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against this investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has decided to build some provision against these FDRs.
In addition, Bangladesh Bank vide letter no. FII(I-06/02)/2021-278 dated 04 April 2021 has given their consent to finalize the financial statements of BIFFL with the present provision status against FDR accounts and advised to build up the provision gradually.

13.5.1 Provision for loans, advances and investments

	31-Dec-20	31-Dec-19
General provision	**236,663,801**	**236,663,801**
Statutory requirement	218,496,905	235,182,356
Voluntary provision	18,166,896	1,481,445
Specific Provision	**279,883,945**	**279,883,946**
Statutory requirement	279,792,159	279,883,946
Voluntary provision	91,786	-
	516,547,747	**516,547,746**

13.5.2 Other provision

	31-Dec-20	31-Dec-19
Statutory requirement	575,298,717	575,298,717
Voluntary provision	580,000,000	80,000,000
	1,155,298,717	**655,298,717**

13.5.3 Total provision

	31-Dec-20	31-Dec-19
Statutory requirement	1,073,587,782	1,090,365,019
Voluntary provision	598,258,682	81,481,445
	1,671,846,464	**1,171,846,464**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19
13.6 Interest suspense account		
On leases, loans and advances:		
Opening balance	41,768,560	126,319
Addition during the period	652,968,679	41,642,241
Transferred to interest income	(4,396,646)	-
Closing balance (i)	**690,340,593**	**41,768,560**
On Investment		
Opening balance	34,187,233	34,387,233
Addition during the period	-	-
Transferred to interest income	(300,000)	(200,000)
Closing balance (ii)	**33,887,233**	**34,187,233**
On Fixed Deposit Receipts (FDRs)		
Opening balance	358,400,474	-
Addition during the period (Note- 13.6.1)	460,806,646	358,400,474
Transferred to interest income	(265,671,137)	-
Closing balance (iii)	**553,535,983**	**358,400,474**
Closing balance of interest suspense account (i+ii+iii)	**1,277,763,809**	**434,356,267**

A number of loan accounts under BIFFL loans and advances portfolio allowed for deferred payment of installments following directives of Bangladesh Bank. Amid the covid-19 pandemic, some other projects whose installments were not due in the reporting period were also adversely affected, and project operation was stagnant. Considering the potential adverse impact of the Covid-19 pandemic and advice of Board, out of the interest on loans and advances BDT61,23,73126.26 interest accrued on loans and advances with standard classification status left aside from the interest income and kept in the interest suspense account. This amount will be eventually recognized as interest income depending on the recovery and the project performance in the subsequent reporting period(s). Besides, BIFFL made the short-term investment (FDRs) to different banks and FinanciaL Institutes (FIs) based on satisfactory performance and ratings. However, due to vulnerable conditions in the money markets and liquidity crises, some banks and FIs struggle to pay back the due amount on maturity dates. Therefore, considering the ongoing liquidity crisis and vulnerable conditions in the money market, interest accrued on FDRs has been transferred to the interest suspense account.

13.6.1 Interest Suspense on FDR

Bangladesh Industrial Finance Company (BIFC) Ltd.	86,167,928	39,118,199
First Finance Ltd.	16,691,061	6,255,515
ICB Islamic Bank Ltd.	-	25,931,947
BD Finance and Investment Ltd.	-	4,400,233
FAS Finance and Investment Ltd.	98,911,315	47,566,002
Padma Bank Ltd.	1,688	27,865,928
International Leasing and Financial Services Ltd.	143,795,960	65,275,734
Peoples Leasing and Financial Services Ltd.	32,151,835	32,151,835
Aviva Finance Ltd. (Reliance Finance Ltd.)	-	720,000
Union Capital Limited	68,334,187	30,683,355
Prime Finance and Investment Ltd.	3,750,000	-
Fareast Finance and Investment Ltd.	20,194,790	-
Premier Leasing and Finance Ltd.	33,940,193	17,605,799
Interest Suspense A/C FDRs- Accrual	49,597,026	60,825,927
Total	**553,535,983**	**358,400,474**

14 Share capital

14.1 Authorized capital		
1,000,000,000 ordinary shares of Tk.100 each	**100,000,000,000**	**100,000,000,000**
14.2 Issued, subscribed & paid up capital		
23,08,00,000 and 21,08,00,000 ordinary shares of Tk.100 each	**23,080,000,000**	**21,080,000,000**

14.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated minimum capital requirement by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-20	31-Dec-19
Tier-1 (Core capital)		
Fully paid-up capital/ capital lien with BB	23,080,000,000	21,080,000,000
Statutory reserve	1,767,400,439	1,659,085,617
Non-repayable share premium account	-	-
General reserve	100,000,000	50,000,000
Retained earnings	1,188,405,645	986,342,467
Minority interest in subsidiaries	-	-
Non- cumulative irredeemable preference shares	-	-
Dividend equalization account	-	-
Others (any item approved by Bangladesh Bank)	-	-
Sub-Total	**26,135,806,084**	**23,775,428,084**
Deductions from tier-1 (Core capital)		
Book value of goodwill and value of any contingent assets which are shown as assets	-	-
Shortfall in provisions required against classified assets	-	-
Shortfall in provisions required against investment in share	-	-
Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities	-	-
Any investment exceeding the approved limit	-	-
Investments in subsidiaries which are not consolidated	-	-
Others (if any)	-	-
Sub-Total		
Total eligible Tier-1 capital	**26,135,806,084**	**23,775,428,084**
Tier-2 (Supplementary capital)		
General provision (Unclassified up to special limit+ SMA+ off balance sheet exposure)	236,663,801	236,663,801
Assets revaluation reserves upto 50%	-	-
Revaluation reserve for securities up to 50%	-	-
All other preference shares	-	-
Others (any item approved by Bangladesh Bank)	-	-
Sub-Total	**236,663,801**	**236,663,801**
Deductions, if any	-	-
Total eligible Tier-2 capital	**236,663,801**	**236,663,801**
Total capital	**26,372,469,885**	**24,012,091,885**
Total risk weighted asset	**21,845,951,870**	**23,544,929,826**
Required capital	2,184,595,187	2,354,492,983
Surplus/(deficit)	**24,187,874,699**	**21,657,598,903**
Capital Adequacy Ratio (CAR)	**121%**	**102%**
On core capital (Tier-1)	120%	101%
On supplementary capital (Tier-2)	1.08%	1.01%

15 Statutory reserve

Opening balance	1,659,085,617	1,568,487,561
Add: Transferred from profit during the year	108,314,823	90,598,056
Closing balance	**1,767,400,439**	**1,659,085,617**

In compliance with the Rule 6 of The Financial Institutions Regulations 1994, the company transfers 20% of its net profit after tax to statutory reserve for the respective period .

16 General reserve

Opening balance	50,000,000	-
Addition during the period	50,000,000	50,000,000
	100,000,000	**50,000,000**

ACNABIN Dhaka Chartered Accountants

17 Retained earnings

	Amount in Taka	
	31-Dec-20	31-Dec-19
Opening balance	986,342,467	673,950,242
Add: Net profit for the period	541,574,113	452,990,281
	1,527,916,579	1,126,940,524
Less:		
Transferred to statutory reserve for the period	108,314,823	90,598,056
Transferred to general reserve for the period	50,000,000	50,000,000
Stock dividend	-	-
Cash dividend	181,196,112	-
	339,510,935	140,598,056
Closing balance	**1,188,405,645**	**986,342,467**

18 Contingent liabilities

In the normal course of business, the Company makes certain commitments in favor of clients and incurs some contingent liabilities. No material losses are anticipated as a result of these transactions. These contingent liabilities and commitments are quantified below.

Acceptances and endorsements	-	-
Letter of comfort (Note- 18.1)	454,800,000	503,031,759
Irrevocable letters of credit	-	-
Bills for collection	-	-
Indemnity bond	-	-
Corporate guarantee	-	-
	454,800,000	**503,031,759**

18.1 Letter of comfort (Note- 18.1)

The Company gives the comforts to third parties on behalf of clients. Letter of comfort represents an undertaking that the Company will pay to third parties and it converts into loans or lease on the basis of the agreement with the clients. The maximum amount that the Company could be required to pay under the comforts is its principal amount.

Directors or officers	-	-
Government	-	-
Banks and other financial institutions	-	-
Customers	454,800,000	503,031,759
	454,800,000	**503,031,759**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	Jan-Dec'2020	Jan-Dec'2019

19 Income statement

19.1 Income

	Jan-Dec'2020	Jan-Dec'2019
Interest, discount and similar income	-	-
Interest income on leases, loans and advances (Note- 20)	1,120,550,039	1,736,088,527
Investment income (Note- 22)	325,936,996	233,825,597
Other operating income (Note- 23)	453,952,651	231,437,493
	1,900,439,685	**2,201,351,617**

19.2 Expenses

	Jan-Dec'2020	Jan-Dec'2019
Interest expenses on deposits, borrowings etc. (Notes- 21)	90,286,117	96,345,981
Salary and allowances (Note- 24)	61,387,080	59,002,335
Rent, taxes, insurance, electricity etc. (Note-25)	1,714,828	3,477,003
Legal expenses (Note- 26)	195,188	699,163
Postage, stamp, telecommunication etc. (Note- 27)	1,666,318	1,922,434
Stationery, printing, advertisement etc. (Note- 28)	1,866,053	6,840,432
Managing Director's salary and allowances (Note- 29)	6,983,548	6,821,760
Directors' fees (Note- 30)	909,318	1,416,196
Auditors' fees (Note- 31)	404,000	266,000
Charges on loan losses	-	-
Depreciation and repairs of company's assets (Note- 32)	45,523,680	46,482,930
Other operating expenses (Note- 33)	17,030,777	32,350,320
	227,966,907	**255,624,555**

20 Interest income on leases, loans and advances

	Jan-Dec'2020	Jan-Dec'2019
Interest income from term loan (Note- 20.1)	1,120,550,039	1,736,088,527
	1,120,550,039	**1,736,088,527**

20.1 Interest income from term loan

	Jan-Dec'2020	Jan-Dec'2019
Interest income from loan to large infrastructure projects	935,564,419	1,447,422,596
Interest income from loan to sustainable and eco-friendly projects	181,122,302	284,290,870
Interest income from loan to women entrepreneurs	3,198,615	3,952,052
Interest income from staff loan	664,703	423,009
	1,120,550,039	**1,736,088,527**

21 Interest expenses on deposits, borrowings etc.

	Jan-Dec'2020	Jan-Dec'2019
Interest expense on BB refinance scheme	37,274,931	16,791,649
Interest expense on borrowing in the form of SOD, STL and Term Deposits	1,715,278	41,330,462
Interest expense on borrowing from IPFF II of World Bank	19,478,221	6,914,148
Interest expense on borrowing from JICA	31,817,687	31,309,722
	90,286,117	**96,345,981**

22 Investment income

	Jan-Dec'2020	Jan-Dec'2019
Interest income from commercial paper (Note- 22.1)	300,000	200,000
Interest income from bond (Note- 22.2)	118,386,965	102,865,854
Dividend income from preference share (Note- 22.3)	207,250,031	130,759,744
	325,936,996	**233,825,597**

22.1 Interest income from Commercial Paper

	Jan-Dec'2020	Jan-Dec'2019
Computer Source Ltd.	300,000	200,000
	300,000	**200,000**

22.2 Interest income from Bond

	Jan-Dec'2020	Jan-Dec'2019
IDLC Zero Coupon Bond	27,380,635	21,454,895
Ashuganj Power Station Company Ltd.	91,006,330	81,410,959
	118,386,965	**102,865,854**

22.3 Dividend income from Preference Share

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	Jan-Dec'2020	Jan-Dec'2019
Kushiara Power Company Ltd.	58,304,493	16,709,589
Summit Gazipur II Power Ltd.	10,000,000	2,520,548
Bhairab Power Ltd.	18,947,945	4,008,219
Doreen Power House & Technologies Ltd.	44,100,457	43,879,452
Rajlanka Power Company Ltd.	19,616,771	28,765,794
Zodiac Power Chitttagong Ltd.	21,600,000	-
Ace Alliance Power Ltd.	34,680,365	34,876,141
	207,250,031	**130,759,744**

23 Other operating income

Interest income (FDRs)	240,794,887	218,043,021
Interest on short term loan (STL)	2,766,221	2,221,703
Interest on SND	195,464,647	5,408,018
Fees income (Note- 23.1)	14,920,148	5,566,702
Gain on disposal of assets	6,747	-
Rental income	-	198,050
	453,952,651	**231,437,493**

23.1 Revenue from fees

Other fees*	14,920,148	5,566,702
	14,920,148	**5,566,702**

*As per DFIM circular no 01 dated 03 April 2018, due diligence fees, participation fees, supervision fees etc, can not be charged to the client. But whenever BIFFL participates in syndication financing then BIFFL receives relevant fees and charges on prorata basis.

24 Salary and allowances

Salary and allowances	45,418,255	51,737,985
Bonus	14,189,575	6,184,070
Gratuity expenses	1,779,250	1,080,280
	61,387,080	**59,002,335**

25 Rent, taxes, insurance, electricity etc.

Rent and taxes	-	473,398
Utility bills	1,164,554	2,007,897
Health insurance premium	543,606	847,688
Vehicle insurance premium	6,668	148,020
	1,714,828	**3,477,003**

26 Legal expenses

Legal expense	1,603	25,000
Renewal & registration	173,990	667,593
Stamp cost	19,595	6,570
	195,188	**699,163**

27 Postage, stamp, telecommunication etc.

Postage and courier	2,500	32,140
Telephone, telex, fax and mobile	431,568	607,294
Networking expense	672,000	683,000
Internet bandwidth charge	560,250	600,000
	1,666,318	**1,922,434**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka Jan-Dec'2020	Amount in Taka Jan-Dec'2019
28 Stationery, printing, advertisement etc.		
Stationery and printing	1,079,615	1,452,148
Advertisement and publicity	179,627	3,997,523
Books and periodicals	14,987	148,155
Business development expenses	589,685	1,065,906
Binding and spiral	2,140	-
Gift expenses	-	176,700
	1,866,053	**6,840,432**
29 Managing Director's salary and allowances		
Basic pay and allowances	5,263,548	5,339,760
Bonus	1,720,000	1,453,500
Gratuity expenses	-	28,500
	6,983,548	**6,821,760**
30 Directors' fees		
Honorarium for attending meeting	909,318	1,416,196
	909,318	**1,416,196**
31 Auditors' fees		
Annual statutory audit fees	220,000	220,000
Other audit fees	184,000	46,000
	404,000	**266,000**
32 Depreciation and repairs of company's assets		
Repair & maintenance	953,658	1,322,386
Depreciation on company's fixed assets (Annexure-A)	44,570,022	45,160,544
Loss on disposal of assets	-	-
	45,523,680	**46,482,930**
33 Other operating expenses		
Office maintenance	4,727,648	8,569,913
Training expenses	71,775	1,718,658
Bank charges & commission	1,670,418	2,619,454
Entertainment expenses	2,091,923	2,592,094
Promotional expenses	100,000	928,344
Consultancy and professional Fees	1,056,388	6,588,568
AGM expenses	-	2,888,046
Project site supervision, travelling and conveyance expenses	2,058,725	2,830,932
Tax consultant fees	-	200,000
Recruitment expenses	224,887	127,253
Membership expenses	-	239,583
CIB service charges	221,552	802,319
CSR expenses	2,450,000	422,600
IT maintenance	2,196,346	1,606,449
Anti money laundering and national integrity strategy related expenses	161,115	216,107
	17,030,777	**32,350,320**
34 Provision for investment, leases, loans and advances		
General provision	-	53,563,158
Specific provision	-	29,366,745
	-	**82,929,904**
35 Other provision		
Provision on FDR	500,000,000	654,938,717
Provision on other assets	-	360,000
	500,000,000	**655,298,717**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	Jan-Dec'2020	Jan-Dec'2019

35.1 Provision on FDR

On FDR with Peoples Leasing & Financial Services Ltd.	-	574,938,717
On FDR with other financial institutes---	500,000,000	80,000,000
	500,000,000	**654,938,717**

36 Provision for income tax

Current tax (Note- 36.1)	638,629,481	760,435,907
Deferred tax (income)/expense during the period	(7,730,816)	(5,927,746)
	630,898,665	**754,508,161**

36.1 Current tax expense

Income tax expense during the period	638,629,481	760,435,907
Previous year shortage of tax provision	-	-
	638,629,481	**760,435,907**

36.2 Effective tax rate

Income tax expense (A)	630,898,665	754,508,161
Profit before income tax (B)	1,172,472,778	1,207,498,442
Effective tax rate (A/B)	**53.81%**	**62.49%**

36.3 Reconciliation of effective tax rate

	2020		2019	
	%	Taka	%	Taka
Profit before income tax		**1,172,472,778**		**1,207,498,442**
Applicable tax rates		**40%**		**40%**
Income tax	**40%**	**468,989,111**	**40%**	**482,999,377**
Income tax on net inadmissible expenses and provision	18.00%	211,090,410	25.14%	303,588,479
Tax savings from tax rates lower than applicable rate	-3.54%	(41,450,006)	-2.17%	(26,151,949)
Effect of deferred tax	-0.66%	(7,730,816)	-0.49%	(5,927,746)
Income tax expenses	**53.81%**	**630,898,699**	**62.49%**	**754,508,161**
Effective tax rate		**53.81%**		**62.49%**

37 Earning per share

Earnings Per Share (EPS) has been computed by dividing the basic earning by the weighted average number of ordinary shares outstanding at the end of the year as per IAS 33 'Earnings Per Share'. EPS has been calculated as follows:

Net profit after tax	541,574,113	452,990,281
Weighted average number of ordinary shares outstanding	229,539,726	229,539,726
Earning Per Share (EPS) restated	**2.36**	**1.97**

37.1 Weighted average number of ordinary number of shares outstanding for the year ended on 31 December 2020

Particulars	**Shares**	**Weighted average numbers of ordinary shares**
1-Jan-20	210,800,000	210,800,000
23-Jan-2020*	20,000,000	18,739,726
	230,800,000	229,539,726

* On 23-Jan-2020 BIFFL issued 2 (two) crore additional shares @Tk.100 per share to its shareholders.

38 Net Asset Value per share

Net assets (total assets less total liabilities)	26,135,806,084	23,775,428,084
Weighted average number of ordinary shares outstanding	229,539,726	210,800,000
Net Asset Value (NAV) per share	**113.86**	**112.79**

ACNABIN Dhaka Chartered Accountants

	Amount in Taka	
	Jan-Dec'2020	Jan-Dec'2019
39 Net operating cash flow per share		
Net cash flow from operating activities	2,611,631,723	2,006,852,778
Weighted average number of ordinary shares outstanding	229,539,726	210,800,000
Net operating cash flow per share	**11.38**	**9.52**

40 Related party disclosures

BIFFL entered into a number of transactions with related parties in the normal course of business. The name of the significant related parties, nature of these transactions and amounts are set out below according to the provisions of IAS 24, 'Related Party Disclosures'. Transactions with related parties are executed on the same terms, including interest rate and collateral, as those prevailing at the time for comparable transactions with other customers of similar credentials and do not involve more than a normal risk.

40.1 Particulars of the directors and the transactions with them

a. Name of the directors	**Position in BIFFL**	**Date of Appointment**
Mr. Abdur Rouf Talukder Senior Secretary, Finance Division, MoF	Chairmen	08.08.20218
Mr. Md. Anisur Rahman Senior Secretary, E&MR Division, MoPE&MR	Director	27.02.2020
Mr. Md. Nazrul Islam Secretary, Road Transport & Highways Division, MoRT&B	Director	07.11.2017
Mr. Mohammed Belayet Hossain Secretary, Bridges Division, MoRT&B	Director	20.11.2019
Mr. M. Tofazzel Hossain Miah Secretary, Prime Minister's Office	Director	27.02.2020
Ms. Fatima Yasmin Secretary, Economic Relations Division, MoF	Director	04.06.2020
Ms. Md. Habibur Rahman Secretary, Power Division, MoPE&MR	Director	31.12.2020
Mr. Md. Ekhlasur Rahman Additional Secretary, Finance Division, MoF	Director	06.02.2018

b. Transactions with the directors	**Nature of transactions**	**Transaction amount (Tk.)**
Mr. Abdur Rouf Talukder (Chairman)	Meeting Remuneration	97,776
Mr. Md. Anisur Rahman (Director)	Meeting Remuneration	85,554
Mr. Md. Nazrul Islam (Director)	Meeting Remuneration	109,998
Mr. Mohammed Belayet Hossain (Director)	Meeting Remuneration	122,220
Mr. M. Tofazzel Hossain Miah (Director)	Meeting Remuneration	109,998
Ms. Fatima Yasmin (Director)	Meeting Remuneration	97,776
Mr. Md. Habibur Rahman (Director)	Meeting Remuneration	48,888
Mr. Md. Ekhlasur Rahman (Director)	Meeting Remuneration	127,110
Dr. Sultan Ahmed (Former Director)	Meeting Remuneration	48,888
Mr. Monowar Ahmed (Former Director)	Meeting Remuneration	24,444
Dr. Ahmed Kaikaus (Former Director)	Meeting Remuneration	12,222
Mr. Abu Hena Md. Rahamatul Munem (Former Director)	Meeting Remuneration	12,222
Mr. Sajjadul Hasan (Former Director)	Meeting Remuneration	12,222
Total		**909,318**

ACNABIN Dhaka Chartered Accountants

	Types of transactions	Amount in Taka Jan-Dec'2020	Amount in Taka Jan-Dec'2019

40.2 Details of transactions (excluding salary and employment benefits) with key management personnels:

Name of the personnel	Types of transactions	Outstanding Balances as on 31 December 2020
Mohammad Sagir Hossain Khan (Chief Operating Officer)	Car loan	2,345,370
Mohammad Monirul Islam Khan FCS (Company Secretary)	Home loan	8,985,660
Sk Anower Sadat (Head of C&ID)	Car loan	1,837,431
Md. Tanvir Warsi (Head of CRMD)	Car loan	2,159,839
		15,328,299

	Jan-Dec'2020	Jan-Dec'2019
Car loan:		
Balance at 01 January	**8,198,502**	**2,900,725**
Disbursements made during the period	-	9,650,000
Interest charged during the period	213,404	288,648
Loans adjusted during the period	(2,069,268)	(4,640,870)
Balance at 31 December	**6,342,639**	**8,198,502**
Home loan:		
Balance at 01 January	**6,384,361**	-
Disbursements made during the period	3,350,000	7,200,000
Interest charged during the period	451,299	134,361
Loans adjusted during the period	(1,200,000)	(950,000)
Balance at 31 December	**8,985,660**	**6,384,361**

ACNABIN Dhaka Chartered Accountants

41 Claim not acknowledged as Debt

There was no claim against the financial institution unacknowledged as debt as on 31 December 2020.

42 Receivable from directors

No amount is due from any of the directors of the Company.

43 Disclosure regarding branch

As at 31 December 2020, the Company has no branch in or outside Bangladesh.

44 Executive Committee and Audit Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee (EC) and Audit Committee (AC) as a sub committee of the Board and the committee met several times during the year 2020.

45 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

46 Approval of the financial statements and declaration of dividend.

The Board of Directors in its 97th meeting held on 28 August 2021 approved the financial statements and recommended BDT21,66,29,645 as cash dividend for the year ended on 31 December 2020 for onward approval by shareholders of the Company at 10th Annual General Meeting (AGM).

47 Events after the reporting period

As per IAS 10 'Events after the Reporting Period' events after the reporting period are those events, favorable and unfavorable, that occur between the end of the reporting period and the date when the financial statements are authorized for issue. Two types of event can be identified:
(a) Adjusting events after the reporting period which provide evidence of conditions which existed at the end of the reporting period; and
(b) Non adjusting events after the reporting period, are those that are indicative of conditions that arose after the reporting period.
The details about the events after reporting period are as follows:
On 11 March 2020, COVID-19 has been declared a pandemic by the World Health Organisation, and Bangladesh Government has taken restrictive measures including declared general public holidays to contain its further spread affecting free movement of people and goods. As a consequence, the COVID-19 outbreak has brought about additional challenges in the Company's operating environment and has impacted its operations. Essentially Bangladesh Bank is governing the operational model which is a limited scale operation. BIFFL is closely monitoring the impact of the developments on the Company's businesses. As the situation is fast evolving, the effect of the outbreak is subject to significant levels of uncertainty, with the full range of possible effects unknown.

There is no material adjusting or non adjusting events after the reporting period.

For Bangladesh Infrastructure Finance Fund Limited

Company Secretary	Chief Executive Officer	Director	Chairman

ACNABIN Dhaka Chartered Accountants

Annexure -A

Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets & Intangible Assets
As at 31 December 2020

Amount in Taka

Particulars	Cost				Depriciation					Written down value	
	Balance as at 01.01.20	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.20	Rate	Balance as at 01.01.20	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.20	As at 31.12.20	As at 31.12.19
Computer & IT Equipment											
Scanner & Printer	852,772	19,196	-	871,968	33.33%	648,095	118,337	-	766,433	105,535	204,677
Desktop & Laptop	5,923,462	263,265		6,186,727	33.33%	4,565,560	915,033		5,480,594	706,133	1,357,901
LT Pannel & PFI Plant & PABX & Others	9,139,468	-	-	9,139,468	33.33%	5,201,690	2,777,343	-	7,979,032	1,160,436	3,937,778
Multimedia Projector	541,200	-	-	541,200	33.33%	383,544	89,719	-	473,262	67,938	157,656
Projector Screen	20,000	-	-	20,000	33.33%	19,999	-	-	19,999	1	1
Wifi System	432,000	-		432,000	33.33%	432,000	-		432,000	0	0
Office Equipment											
Office Equipment	10,093,010	-	-	10,093,010	20%	3,970,590	1,905,522	-	5,876,112	4,216,898	6,122,420
HVAC	9,461,619	-		9,461,619	10%	1,083,165	946,162		2,029,327	7,432,292	8,378,454
Refirigerator	187,881	-		187,881	12.5%	27,024	23,485		50,509	137,372	160,857
Electric Meter	9,400	-	-	9,400	10%	6,580	940	-	7,520	1,880	2,820
Wasa Meter	5,980	-	-	5,980	10%	4,783	598	-	5,381	599	1,197
Civil Construction	1,536,612	-		1,536,612	50%	1,536,611	-		1,536,611	1	1
Building	291,527,555	-	-	291,527,555	10%	98,219,979	29,152,756	-	127,372,734	164,154,821	193,307,576
Furnitures & Fittings	37,065,913	68,947	-	37,134,860	10%	4,908,693	3,712,005	-	8,620,698	28,514,162	32,157,220
Vehicle	35,295,370	-	18,424	35,276,946	20%	22,560,884	4,928,120	6,671	27,482,334	7,794,612	12,734,486
Sub total	**402,092,241**	**351,408**	**18,424**	**402,425,225**		**143,569,197**	**44,570,019**	**6,671**	**188,132,546**	**214,292,679**	**258,523,044**
Intangible assets											
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-	-
Accounting software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-	-
Sub total	**285,360**	**-**	**-**	**285,360**		**285,360**	**-**	**-**	**285,360**	-	**-**
Total	**402,377,601**	**351,408**	**18,424**	**402,710,585**		**143,854,557**	**44,570,019**	**6,671**	**188,417,906**	**214,292,679**	**258,523,044**

ACNABIN
Dhaka
Chartered Accountants